St Ignatius' College
Riverview

2024

HIGHER
SCHOOL
CERTIFICATE **ASSESSMENT**
TASK 1

Business Studies Task 1

HSC AT1 Criteria

Data Breakdown

Question/Section	**Average**
Multiple Choice (10 marks)	7.15
Q11 (10 marks)	6.77
Q12 (10 marks)	6.35
Q13 (10 marks)	5.93
Hand In	4.65
Total (45 marks)	**30.6**

Section I

Question	Answer
1	B
2	C
3	A
4	D
5	C
6	B
7	C
8	B
9	D
10	A

Section II – Short Answers

Question 11 (10 marks)

EVO manufactures batteries and supplies these to electric vehicle producers internationally. Recently EVO have received a reputation for late deliveries.

a) Outline the influence technology has on the operations of this business. (2)

Criteria	*Mark*
Sketches in general terms the influence of technology on the operations relevant to this business	2
Makes a general statement about the influence of technology on operations.	1

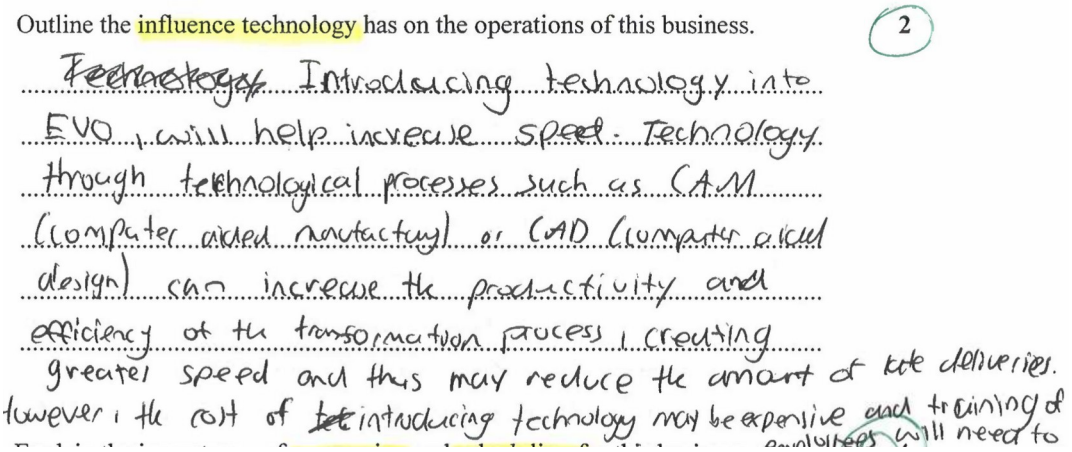
Answers could include:
Technology consists of machinery and systems (CAD and CAM) that enable EVO to optimise their transformation processes. Technology will influence how the batteries are manufactured, the task design and how information is communicated all of which influence EVOs speed and quality.

- Process layout
- New batteries / designs
- Performance Objectives (QSDFCC)

Feedback:
Many students scored 1 on this question. The openness of the question appeared to throw students off. Common mistakes were:

- Overlooking a definition of technology
- Not linking to operations processes e.g. layout, transformation, M-C-I
- No mention or link to performance objectives

Sample Student Answer


Outline the influence technology has on the operations of this business. 2

Technology. Introducing technology into EVO, will help increase speed. Technology through technological processes such as CAM (computer aided manufacturing) or CAD (computer aided design) can increase the productivity and efficiency of the transformation process, creating greater speed and this may reduce the amount of late deliveries. however, the cost of ~~let~~ introducing technology may be expensive and training of employees will need to

b) Explain the importance of sequencing and scheduling for this business. (4)

Criteria	*Mark*
Provides **detailed** cause and effect of the importance of sequencing and scheduling **relevant** to this business	4
Provides cause and effect of the importance of sequencing and scheduling relevant to this business	3
Provides cause and effect of the importance of sequencing **OR** scheduling may or may not link to this business **OR** Sketches in general terms sequencing and scheduling for this business	2
Makes a general statement about sequencing and scheduling	1

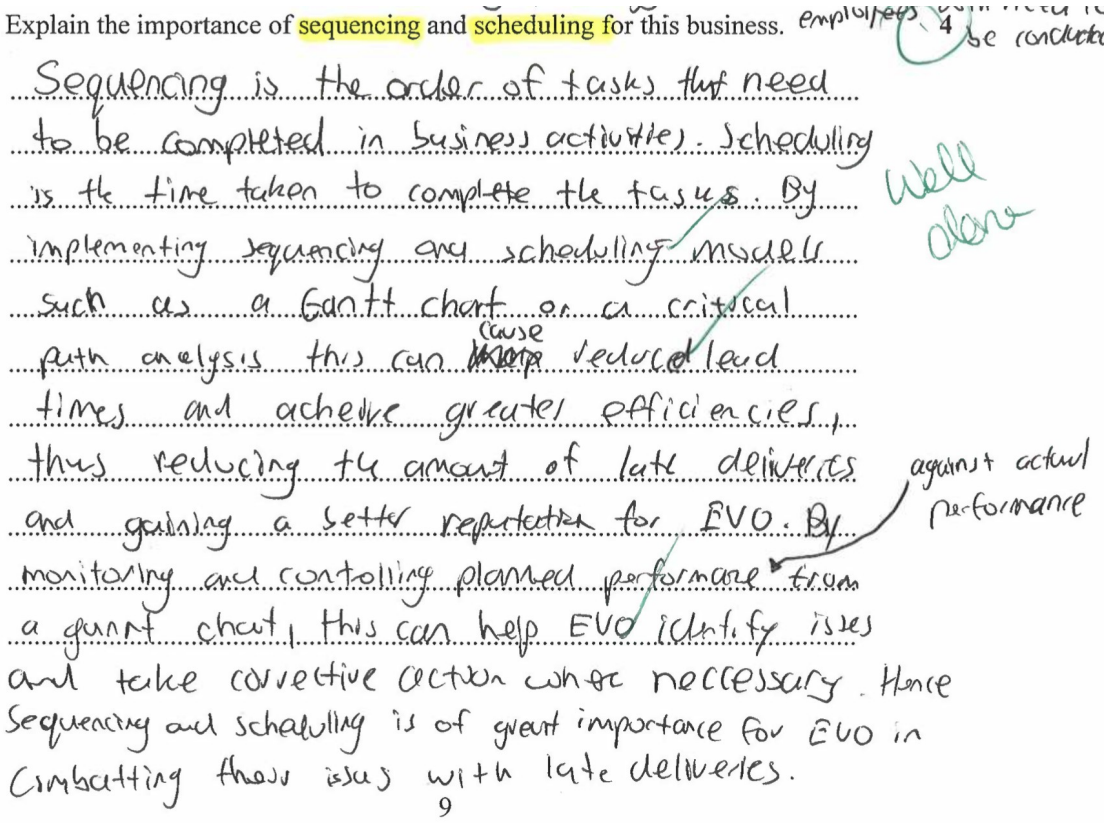
Answers could include:
Sequencing (order of tasks) and scheduling (time taken to complete tasks) are important in the transformation process. Tools such as Gantt charts and critical path analysis are used to ensure project completion in the most efficient order and what activities cannot be delayed. In the case of EVO, they have earned a reputation for late deliveries. Completing a critical path analysis will enable the operations management to identify which activities are on the critical path during the battery production so that they are not delayed. In addition, S&S is important to ensure that tasks are completed in order so that no time is wasted double handling goods in production. This is important to maintain their reputation of speed and dependability with their customers.

Feedback:
Generally, a well answered question by the cohort. Many linking to the stimulus “EVO has a reputation for late deliveries”. Those who didn’t score 4/4 lacked some of the following:

- Clear definitions: Sequencing (order of tasks) and scheduling (time taken to complete tasks)
- Syllabus links to CPA or Gantt charts (S&S models)
- Clear explanation of how S&S would help I.e. identify slow steps in the transformation process or identify a more efficient production / delivery process.

- Link business knowledge to consider suitable reasons for late deliveries
- No clear link to performance objectives of speed or dependabiltiy

Sample Student Answer


Explain the importance of sequencing and scheduling for this business. 4

Sequencing is the order of tasks that need to be completed in business activities. Scheduling is the time taken to complete the tasks. By implementing sequencing and scheduling models such as a Gantt chart or a critical path analysis this can cause reduced lead times and achieve greater efficiencies, thus reducing the amount of late deliveries and gaining a better reputation for EVO. By monitoring and controlling planned performance against actual performance from a gannt chart, this can help EVO identify issues and take corrective action where necessary. Hence Sequencing and scheduling is of great importance for EVO in combatting these issues with late deliveries.

9

Well done

C) EVO will increase their product warranty from 1 to 5 years.

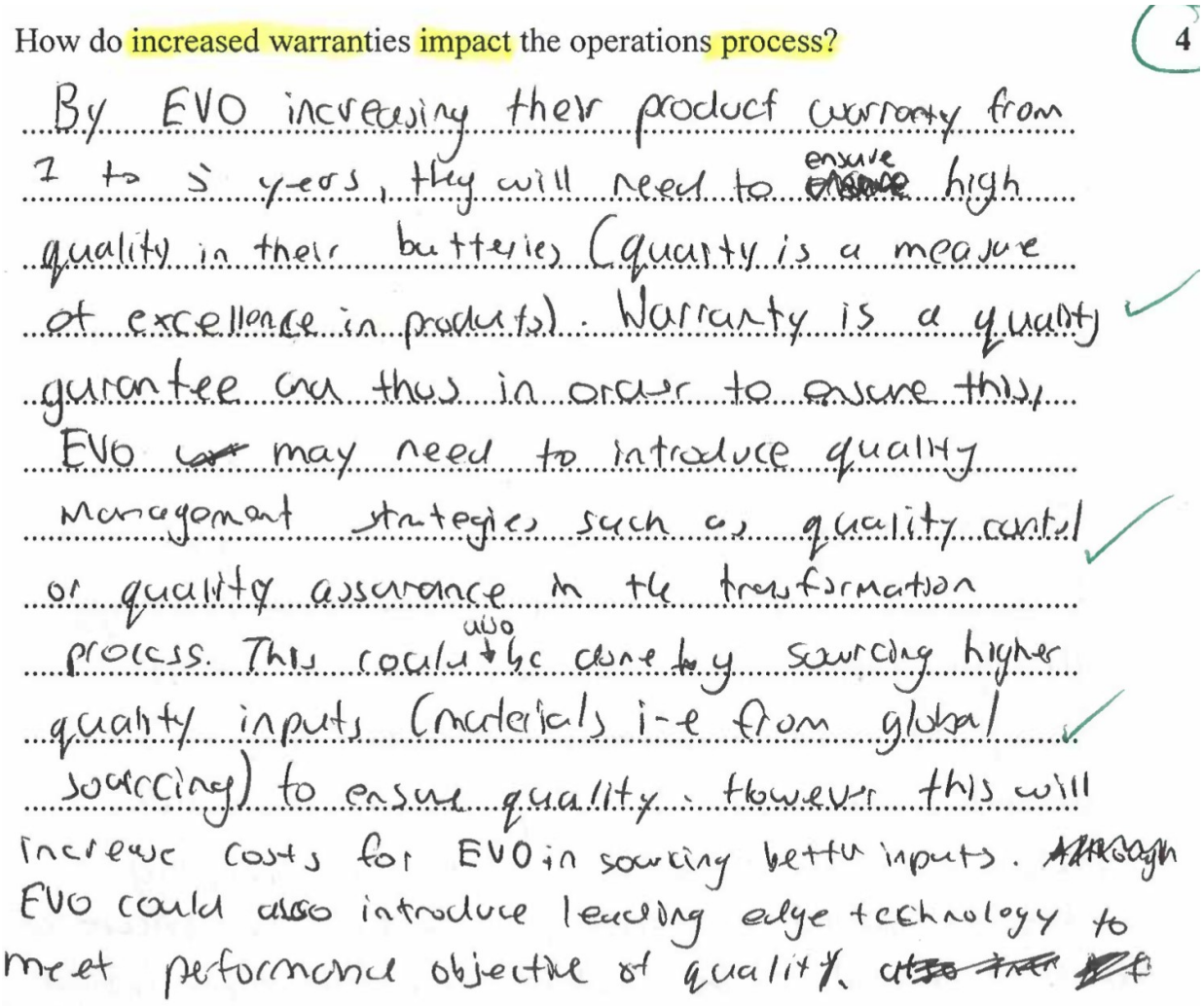
How do increased warranties impact the operations process? (4)

Criteria	*Mark*
Provides **detailed** cause and effect of how increased warranties impact the operations process **relevant** to this business	4
Provides cause and effect of how increased warranties impact the operations process **relevant** to this business	3
Sketches in general terms how warranties impact the operations process, may or may not link to this business	2
Makes a general statement about warranties and operations processes	1

Suggested answer

Warranties are extra promises made by EVO about the quality of a product. How they will repair, replace, or refund any defects in the batteries for a specified period after purchase. By increasing the warranty from 1 to 5 years this shows a significant improvement in product quality and durability to stand the test of time. One impact on the transformation process is the use of inputs as the materials used in the batteries will have to be of a higher quality to last an additional 4 years. In addition, the monitoring and controlling processes will need to ensure quality standards are maintained to identify any defects and that the batteries are built to the new higher specifications. In both cases increased warranties have a significant impact on the transformation process of EVO and performance objectives of quality, dependability and cost.

Sample Student Answer



How do increased warranties impact the operations process? 4

By EVO increasing their product warranty from 1 to 5 years, they will need to ~~ensure~~ ensure high quality in their batteries (quality is a measure of excellence in products). Warranty is a quality guarantee and thus in order to ensure this, EVO ~~can~~ may need to introduce quality management strategies such as quality control or quality assurance in the transformation process. This could also be done by sourcing higher quality inputs (materials i-e from global sourcing) to ensure quality. However this will increase costs for EVO in sourcing better inputs. ~~Although~~ EVO could also introduce leading edge technology to meet performance objective of quality. ~~also time~~

Question 12

Chris Cringle Decorations are a large Sydney based seller of artificial Christmas trees and decorations. They currently source stock from a Chinese manufacturer and storage cost have doubled within the last 6 months.

a) Outline an impact of globalisation on this business. 2

Criteria	*Mark*
Sketch in general terms the impact of Globalisation on CCD	2
May reference an impact of Globalisation on CCD	1

Suggested answer

- Globalisation is characterised by increasing integration between national economies and the transfer of capital, labour, intellectual capital and ideas, financial resources and technology.
- It has resulted in the increased movement of **people, goods, information, technology, finance and culture** throughout the world due to increased economic integration
- Can present business opportunities (f**or example, lower costs and new markets**) or threats for businesses that do not adapt
- Through globalisation, businesses can leverage the c**ompetitive advantage** each region of the world has to offer – global sourcing
- It also is enabled by **reduced transportation costs** (for example, container shipping).
- Linked to CCD

Globalisation refers to the removal of trade barriers and the ever closer integration of world economies. CCD source products from China, by doing so they will decrease the costs in comparison to buying from an Australian provider, this is due to compliance costs, employment costs, and manufacturing costs being more expensive than the

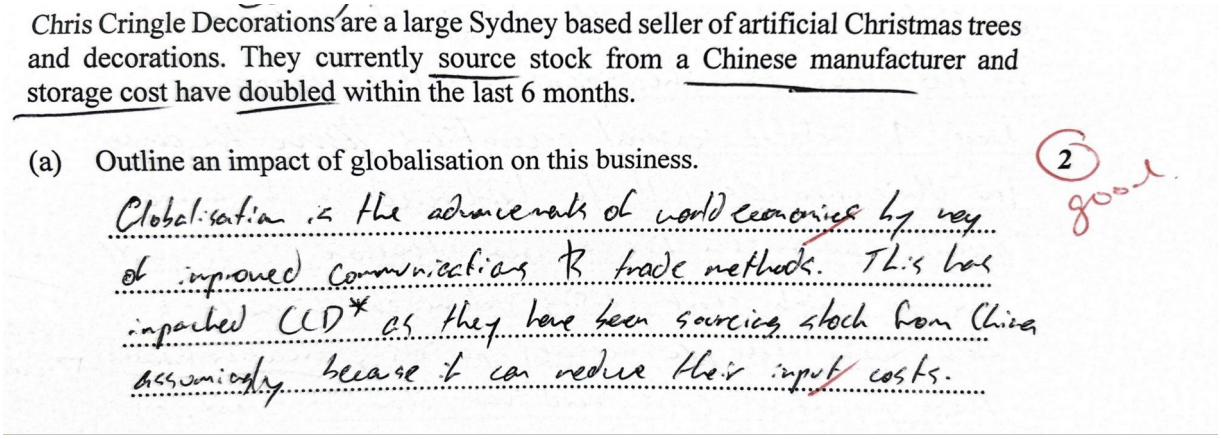
Marker's Feedback

Students suggest that the increase of storage cost is due to globalisation, this is untrue, as it is CCD who control the orders from China and they are over ordering, which is a failure of the business to adequately plan. Additionally, students did not define the key term in a number of cases. Lastly, students incorrectly infer additional information that is not evident in the scenario.

Sample Student Answer

Chris Cringle Decorations are a large Sydney based seller of artificial Christmas trees and decorations. They currently source stock from a Chinese manufacturer and storage cost have doubled within the last 6 months.

(a) Outline an impact of globalisation on this business.



b) Recommend an Inventory Management Strategy for this business. 3

Criteria	*Mark*
Recommends an Inventory Management Strategy with two valid reasons	3
Recommends an Inventory Management Strategy with one valid reason	2
Makes a valid statement about Inventory Management	1

Suggested answer

Just-in-time (JIT) production, sometimes called lean manufacturing or lean production, turns traditional manufacturing thinking on its head.

Rather than producing goods and supplying customers from stock, JIT processes focus on producing exactly the amount you need at exactly the time your customers need it.

Just-in-time advantages and disadvantages

The main advantages of JIT are that it can improve production efficiency and competitiveness.

It does this by:

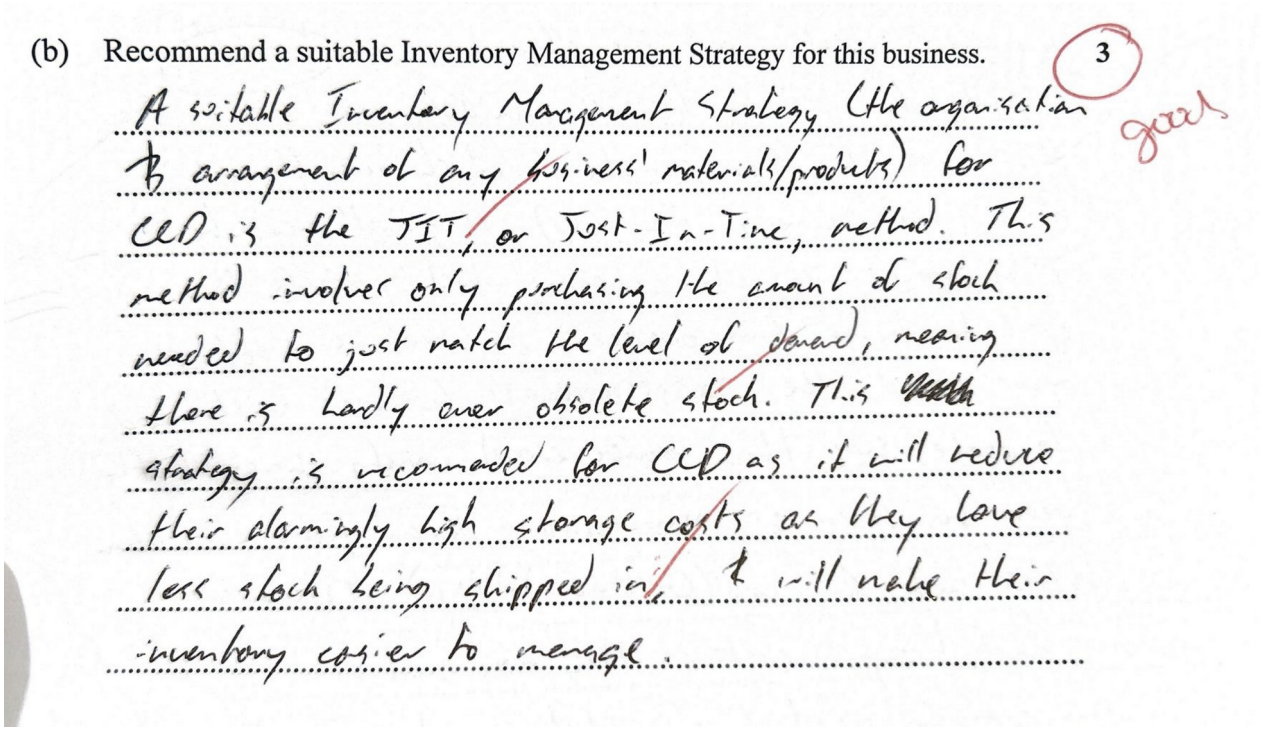
- preventing over-production
- minimising waiting times and transport costs
- saving resources by streamlining your production systems
- reducing the capital you have tied up in stock
- dispensing with the need for inventory operations (holding vast amount of stock)
- decreasing product defects

2 marks may be awarded for FIFO and LIFO if sufficient reason in favour given, though will not reduce stock storage costs.

Marker's Feedback

Sample Student Answer

(b) Recommend a suitable Inventory Management Strategy for this business. 3



c) Analyse the impact of variation in demand and variety on this business. 5

Criteria	*Mark*
Clearly Identifies components and the relationship between variation in demand and variety for this business AND draws out and relates implications to the business	5
Clearly Identifies components and the relationship between variation in demand and variety for this business	4
Identifies some components and the relationship between variation in demand and variety for this business	3
Identifies some components OR relationship between variation in demand and variety for this business	2
Makes a valid statement about variation in demand OR variety	1

Suggested answer

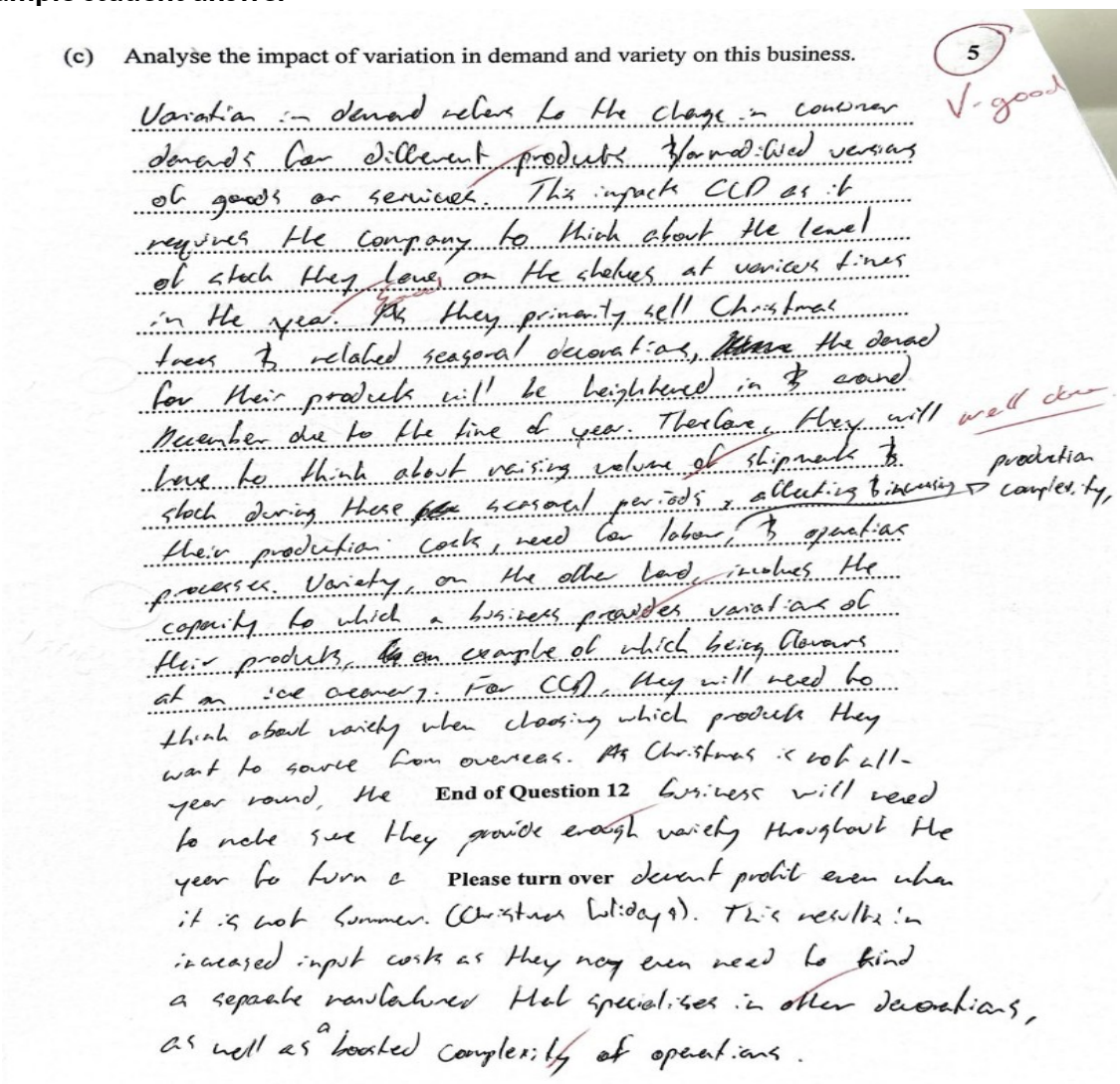
Operations will be strongly influenced by variations in demand over time. Variation can change according to time of day, season, public holidays and time of year. When there is volatility in the pattern of demand, operations will need to be highly flexible. The operations manager will need to anticipate and plan for changes in demand and have a high level of contact with the market. Technology will be used so that the business can respond quickly to changes in demand.

Variety refers to the number of different models and variations offered by a business in its products or services. If the business has customers with different needs, goods and services will have to be modified or a wide variety of models and options will need to be provided. The business will probably rely on using sophisticated technology so that it can change production from one product to another without too much disruption to the operations process.

A business offering high variety will be capital-intensive, with a focus on producing/sourcing at the lowest costs per unit possible. However, due to the seasonal nature of the products and the variation

in demand the business will need to be flexible in regards to how much stock it holds during the quiet months and effectively manage both HR and facilities during the year to account for variations in order to achieve efficiencies.

Marker's Feedback
Sample student answer



(c) Analyse the impact of variation in demand and variety on this business. 5

V. good

Variation in demand refers to the change in consumer demands for different products. Varied versions of goods or services. This impacts CCO as it requires the company to think about the level of stock they have on the shelves at various times in the year. As they primarily sell Christmas trees & related seasonal decorations, the demand for their products will be heightened in & around December due to the time of year. Therefore, they will have to think about raising volume of shipments & stock during these seasonal periods & allocating business production their production costs, need for labour, & operations processes. Variety, on the other hand, involves the capacity to which a business provides variations of their products, e.g. an example of which being flavours at an ice creamery. For CCO, they will need to think about variety when choosing which products they want to source from overseas. As Christmas is not all-year round, the business will need to make sure they provide enough variety throughout the year to turn a decent profit even when it is not Summer (Christmas holidays). This results in increased input costs as they may even need to find a separate manufacturer that specialises in other decorations, as well as a heated complexity of operations.

well done

complexity,

End of Question 12

Please turn over

Question 13

Jiminy's Cricket Company (JCC) manufactures high quality cricket gear. In order to improve profitability materials will now be sourced from the global market.

a) Discuss the balance between cost and quality for this business.

Criteria	*Mark*
Provides comprehensive discussion of the balance of cost and quality for this business.	3
Provides a discussion of the balance of cost and quality.	2
Makes a statement about cost and quality.	1

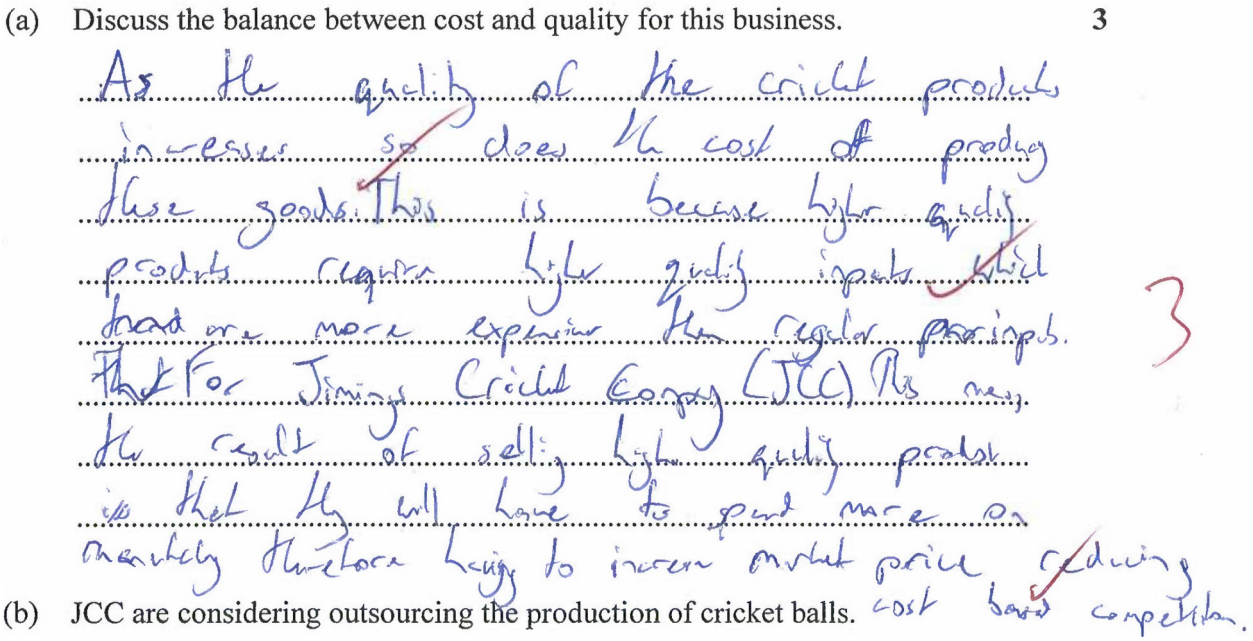
Suggested answer

The balance of cost and quality in operations management for JCC refers to the relationship between the quality of the cricket products that they are producing and the costs associated with making such high quality equipment. Generally, the quality of the product goes up or down in line with the costs in production. Higher quality cricket equipment needs higher quality inputs, and greater amounts of detail in making them, which increases expenses. JCC need to make sure that they have a balance that makes their products high quality, but not so expensive that customers will not want to buy them. Similarly, they do not want to decrease costs by purchasing lesser quality inputs and then see the quality of the overall output decrease.

Marker's feedback

Students need to 'discuss' the balance of cost and quality. Many students fell into the 1-2 mark range because they only provided statements about the relationship between cost and quality without going into enough depth.

Sample Student Answer


(a) Discuss the balance between cost and quality for this business. 3

As the quality of the cricket products increases so does the cost of producing these goods. This is because higher quality products require higher quality inputs which tend are more expensive than regular prod inputs. That For Jimmys Cricket Company (JCC) this may the result of selling higher quality product is that they will have to spend more on materials therefore having to increase market price reducing cost based competition.

3

(b) JCC are considering outsourcing the production of cricket balls.

b) JCC is considering outsourcing the production of cricket balls.

Describe how outsourcing could help this business sustain its competitive advantage.

Criteria	*Mark*
Provides a comprehensive description of how outsourcing could help this business sustain its competitive advantage.	3
Provides a description of how outsourcing could help this business sustain its competitive advantage.	2
Makes a statement about outsourcing.	1

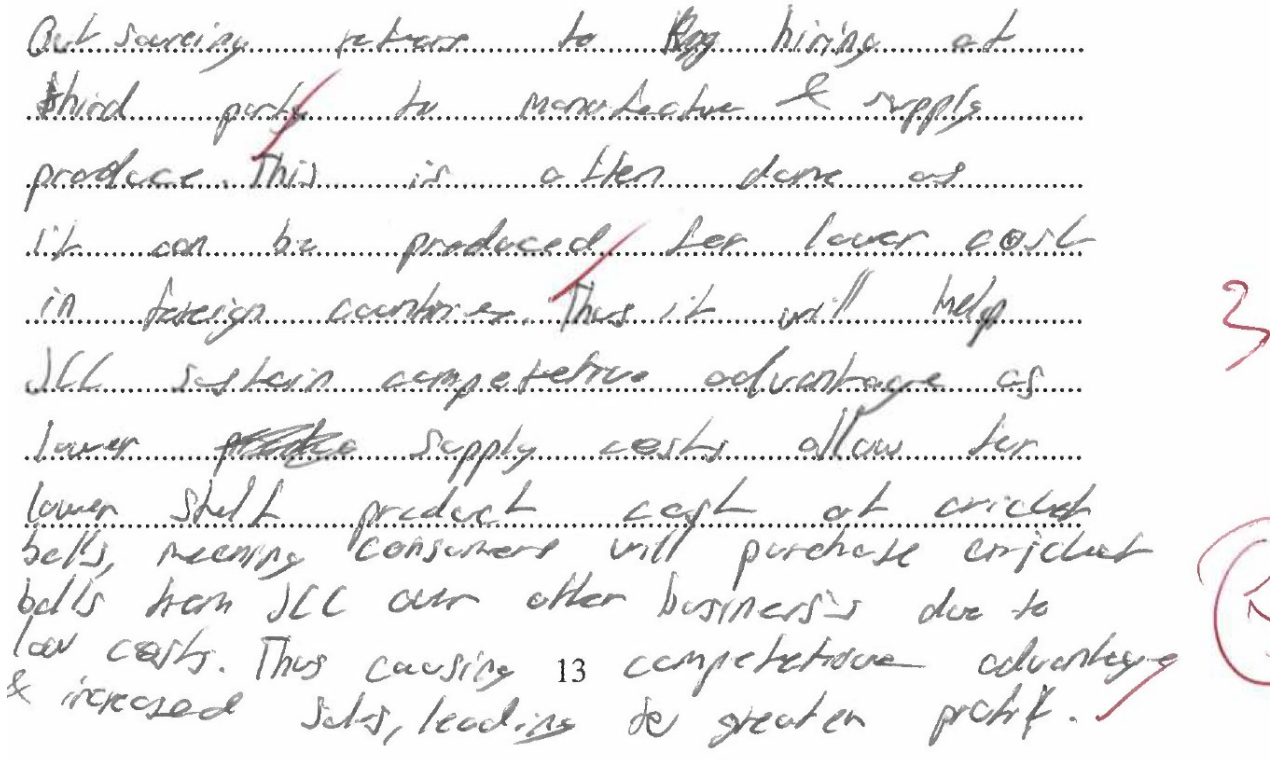
Suggested answer

Outsourcing is the process of using external providers, or third-party specialist businesses, to perform business activities. For JCC, outsourcing would involve them contracting a manufacturer to make cricket balls for them. This would allow them to continue manufacturing other cricket gear, such as bats and pads, and not have to worry about producing the cricket balls themselves. They could ensure that they focus on producing high quality bats, pads and helmets while the outsourced process of cricket ball manufacturing would be handled by an expert cricket ball business. The outsourced business would have the specialised equipment that JCC may not have, which would decrease costs. Making sure that all products they produce would be of the highest quality would increase their reputation as a brand, helping them to grow and increase market share. The cost savings involved in outsourcing cricket ball manufacture would increase revenue and ultimately profit, which would help JCC to sustain its competitive advantage.

Marker's Feedback

Most students were ablet to provide a definition of outsourcing. They needed to provide more links to how outsourcing could be used to achieve specific competitive advantage indicators, for example, greater profitability or market share over their competitors.

Sample Student Answer



c) JCC have purchased leading-edge technology to help achieve economies of scale. Explain why both staff and management might be resistant to change.

Criteria	*Mark*
Provides a comprehensive explanation of why both staff and management might be resistant to change.	4

Provides an explanation of why both staff and management might be resistant to change.	3
Provides an outline of why staff and/or management might be resistant to change.	2
Makes a statement about resistance to change.	1

Suggested answer

Staff:

- Retraining
- Reorganising plant layout
- Inertia

Management:

- Financial costs
- Purchasing new equipment
- Redundancy payments
- Retraining
- Reorganising plant layout
- Inertia

Marker's Feedback

Students needed to use specific syllabus terminology here. Many responses were too general, referring to 'change can be expensive' rather than 'resistance to change may be due to the *financial costs* (from syllabus). Greater detail was needed when explaining each of the specific syllabus dot points.

Sample Student Answer

Explain why both staff and management might be resistant to change.

leading-edge technology is the technological advancements at the forefront of world knowledge. Purchasing this type of technology will allow JCL to increase output & operations speed, as well as creating the same products for a cheaper price. Staff AND management might be resistant to this change for various reasons. For management, they may not want to bear the financial costs of integrating expensive technology & then the possible costs of retraining employees to utilise this technology & giving out redundancy payments for those whose jobs ceases to exist. For employees/staff, they would resist change as they fear being 'outskilled', losing their jobs to a more efficient labour model. Emotional inertia may also creep in, which is the humanistic resistance to change experienced in most workplaces when change is suggested.

4

End of Question 13

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